

House File 1044

H-1336

1 Amend House File 1044 as follows:

2 1. Page 19, after line 2 by inserting:

3 <DIVISION ____

4 LONG-TERM CARE WORKFORCE TAX INCENTIVES

5 Sec. _____. NEW SECTION. 135E.1 Iowa supports direct care
6 professionals relocation tax credit.

7 1. A taxpayer may claim a one-time direct care professional
8 relocation tax credit of three thousand dollars if the taxpayer
9 includes all of the following with the taxpayer's tax return:

10 a. Evidence that the taxpayer resided in another state prior
11 to residing in Iowa.

12 b. Proof of employment as a direct care professional in Iowa
13 at the time of filing the tax return.

14 c. A written acknowledgment that if the taxpayer does not
15 continue to work at least one thousand five hundred hours
16 per year in Iowa as a direct care professional for three
17 consecutive years after the date the tax return is filed, the
18 taxpayer shall be subject to a pro rata repayment of the tax
19 credit.

20 2. Any credit in excess of the tax liability is refundable.
21 In lieu of claiming a refund, the taxpayer may elect to have
22 the overpayment shown on the taxpayer's final, completed return
23 credited to the tax liability for the following tax year.

24 3. A person who claims the tax credit under this section
25 shall not be eligible to claim the retention tax credit under
26 section 135E.2 for at least three calendar years following the
27 tax year in which the person claims the tax credit under this
28 section.

29 4. A tax credit certificate issued under this section shall
30 not be transferred to any other person.

31 5. The department of inspections, appeals, and licensing,
32 in consultation with the department of revenue, shall adopt
33 rules pursuant to chapter 17A to administer this section.

34 6. For purposes of this section, "*direct care professional*"
35 means a person, regardless of job title, who provides

1 supportive services and care to people who are aging, or
2 experiencing illness or disability, and includes but is
3 not limited to personal and home care aides, nursing aides,
4 orderlies and attendants, and home health aides.

5 Sec. _____. NEW SECTION. 135E.2 Iowa supports direct care
6 professionals retention tax credit.

7 1. A taxpayer may claim a direct care professional retention
8 tax credit of two thousand dollars for the tax year beginning
9 January 1, 2026, if the taxpayer includes all of the following
10 with the taxpayer's tax return:

11 a. Documentation that the taxpayer worked at least one
12 thousand five hundred hours in the immediately preceding tax
13 year as a direct care professional.

14 b. Proof of employment as a direct care professional in Iowa
15 at the time of filing the tax return.

16 c. A written acknowledgment that if the taxpayer does not
17 continue to work at least one thousand five hundred hours
18 per year in Iowa as a direct care professional for three
19 consecutive years following the first day of the calendar year
20 in which the credit is issued, the taxpayer is subject to a pro
21 rata repayment of the tax credit.

22 2. For the tax year beginning January 1, 2029, a taxpayer
23 may be eligible to claim a direct care professional retention
24 tax credit every three calendar years if the taxpayer
25 provides the documentation, proof, and written acknowledgment
26 required under subsection 1 with the claim, and provides
27 documentation that the taxpayer has complied fully with all of
28 the requirements prescribed under subsection 1 for the most
29 recently claimed prior tax credit under this section.

30 3. Any credit in excess of the tax liability is refundable.
31 In lieu of claiming a refund, the taxpayer may elect to have
32 the overpayment shown on the taxpayer's final, completed return
33 credited to the tax liability for the following tax year.

34 4. A tax credit certificate issued under this section shall
35 not be transferred to any other person.

1 5. The department of inspections, appeals, and licensing,
2 in consultation with the department of revenue, shall adopt
3 rules pursuant to chapter 17A to administer this section.

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5 *professional*" means a person, regardless of job title, who
6 provides supportive services and care to individuals who are
7 aging, or experiencing illness or disability, and includes but
8 is not limited to personal and home care aides, nursing aides,
9 orderlies and attendants, and home health aides.

10 Sec. _____. NEW SECTION. **422.12Q Iowa supports direct care**
11 **professionals relocation tax credit.**

12 The taxes imposed under this subchapter, less any credits
13 allowed under section 422.12, shall be reduced by an Iowa
14 supports direct care professionals relocation tax credit
15 allowed under section 135E.1.

16 Sec. _____. NEW SECTION. **422.12R Iowa supports direct care**
17 **professionals retention tax credit.**

18 The taxes imposed under this subchapter, less any credits
19 allowed under section 422.12, shall be reduced by an Iowa
20 supports direct care professionals retention tax credit allowed
21 under section 135E.2.

22 Sec. _____. APPLICABILITY. This division of this Act applies
23 to tax years beginning on or after January 1, 2026.>

24 2. Title page, line 12, after <revenue> by inserting <and
25 the creation of tax incentive for long-term care professionals,
26 and including applicability provisions>

27 3. By renumbering as necessary.

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